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High-level segment

World economic situation and prospects as of mid-2026*

Summary

The global economy is under stress as the crisis in the Middle East clouds the growth outlook, stokes inflationary pressures and adds to uncertainty across financial markets. Global growth is now projected to be 2.5% in 2026 and 2.8% in 2027 – downward revisions to an already subdued outlook. Although these revisions are modest, forecast uncertainty has risen considerably, as outcomes hinge on the conflict's duration and scale; a faster-than-expected resolution could restore confidence, while a prolonged disruption would deepen the downgrade.

The closure of the Strait of Hormuz – through which about one fifth of global oil and liquefied natural gas supplies pass – is driving fuel, fertilizer and food prices higher and straining global supply chains. Global inflation is now expected to reach 3.9% in 2026 – 0.8 percentage points above the January forecast – reversing a disinflationary trend and eroding household purchasing power. Financial market volatility has increased, with risks of renewed portfolio outflows and tighter external financing conditions if the conflict persists. Central banks are expected to hold rates higher for longer to curb inflation, while Governments face rising fiscal pressures from weaker growth alongside necessary expenditure to cushion crisis impacts.

Resilient labour markets and artificial intelligence-driven trade and investment support global activity but are unlikely to fully offset widespread headwinds. The outlook is most challenging for fuel- and food-importing developing economies, where surging import costs risk widening fiscal deficits, straining external balances and deepening food insecurity. Low-income households, which spend the largest share of their budgets on food and energy, bear the heaviest burden, with millions at risk of being pushed into poverty. Combined with declining aid flows and mounting debt servicing costs, these pressures threaten to reverse hard-won development gains and further slow progress towards the Sustainable Development Goals.

* The present document updates *World Economic Situation and Prospects 2026* (United Nations publication, Sales No. E.26.II.C.1), released in January 2026.



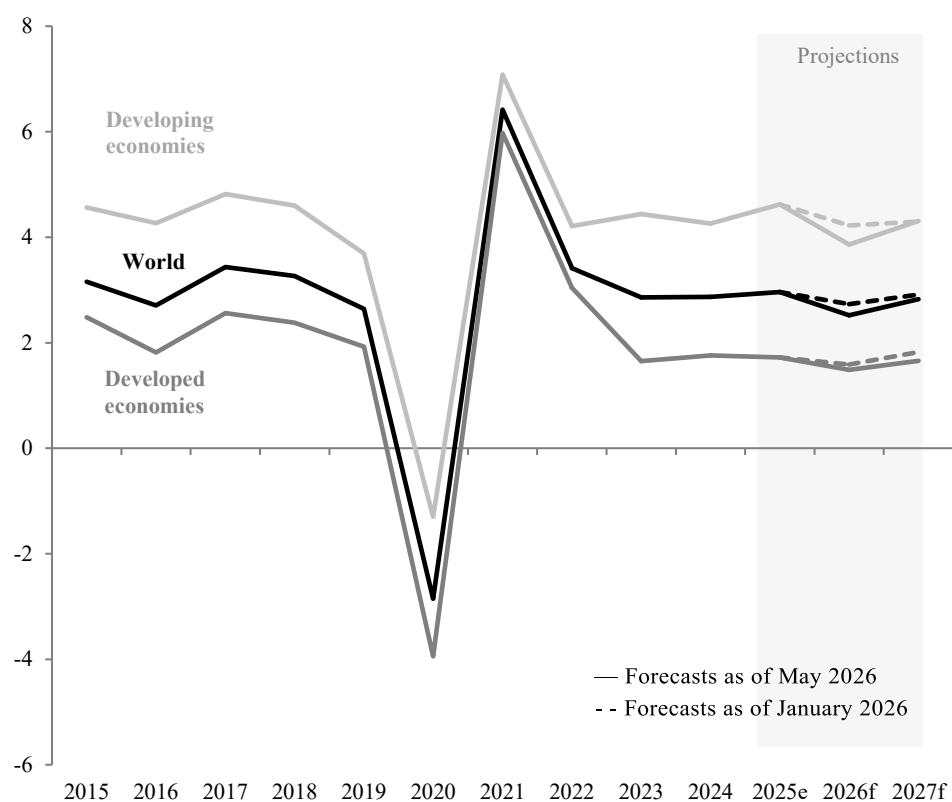
I. Global macroeconomic trends

Global overview

1. The crisis in the Middle East has delivered another major shock to the world economy, testing the resilience of global growth, stoking inflationary pressures and further challenging the prospects for sustainable development. Heading into 2026, economic activity was seen as being supported by firm labour markets, sustained consumer spending and robust trade growth, even as persistent trade tensions and geopolitical uncertainty were clouding the outlook. Commencing on 28 February 2026, the Middle East conflict has triggered a severe energy shock, sending fuel, fertilizer and transport costs higher and causing far-reaching supply chain disruptions. As a result, the near-term outlook has shifted towards slower growth and heightened uncertainty, with significant implications for developing countries and progress towards the Sustainable Development Goals.

2. Global growth is projected to be 2.5% in 2026 and 2.8% in 2027 (0.2 and 0.1 percentage points below the January forecasts) (see figure I and table), a modest downward revision to an already subdued outlook, with growth in many regions further depressed below trends prior to the coronavirus disease (COVID-19) pandemic. After three years of disinflation following the post-pandemic price surge, global inflation is now projected to rise again, reaching 3.9% in 2026 before easing to 3.1% in 2027 (0.8 and 0.2 percentage points above the January projections). This baseline scenario assumes that Brent crude oil prices remain above \$100 per barrel until mid-2026, before easing gradually towards \$80 per barrel in the second half of the year and declining modestly in 2027 amid a gradually improving supply. Prices are expected to stay above pre-conflict levels as lingering uncertainty and unresolved infrastructure damage sustain a structural risk premium, consistent with current futures pricing (see figure II).

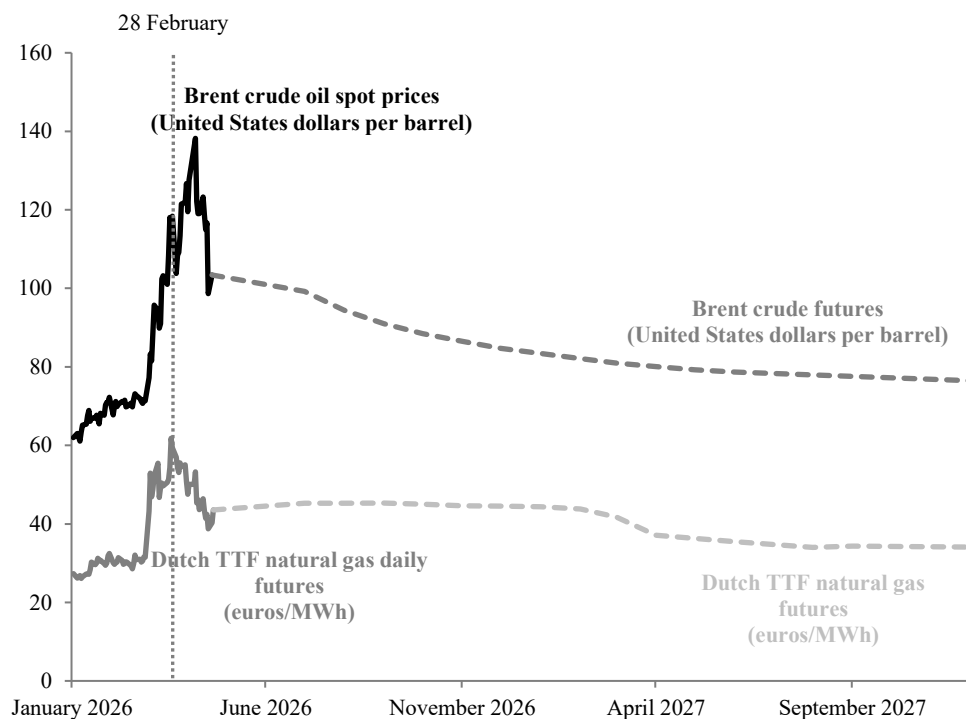
Figure I
Growth of economic output
 (Percentage)



Source: United Nations, Department of Economic and Social Affairs, based on estimates and forecasts produced with the World Economic Forecasting Model.

Abbreviations: e, estimate; f, forecast.

Figure II
Historic and futures prices of crude oil and natural gas



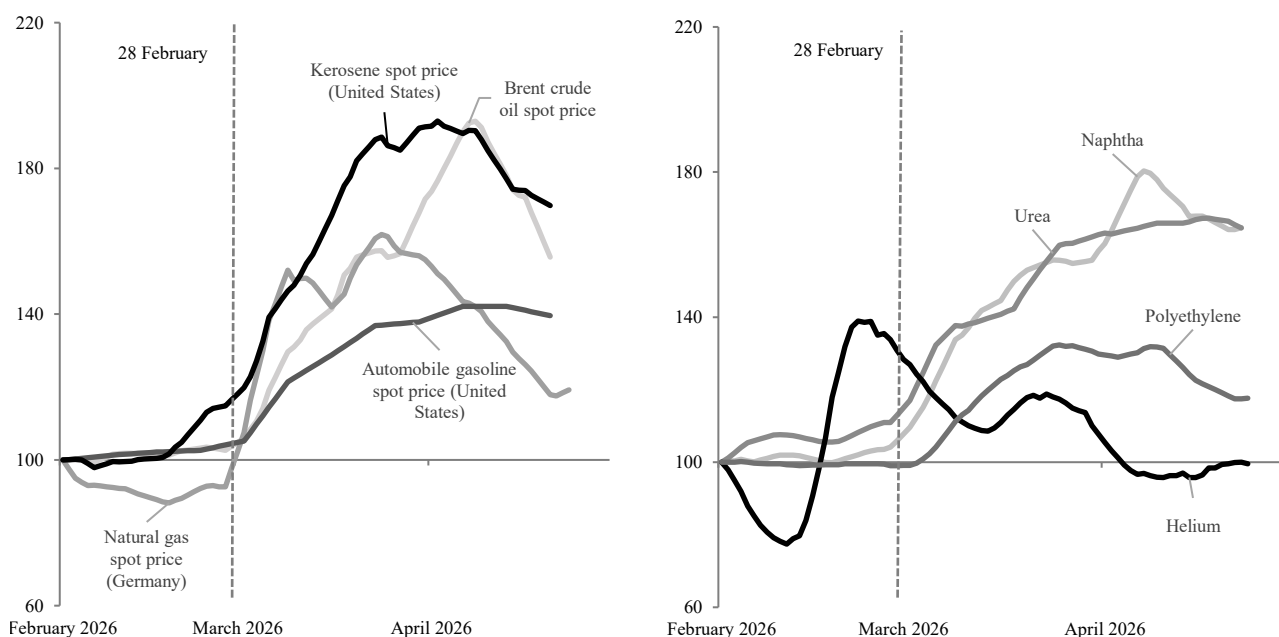
Source: United Nations, Department of Economic and Social Affairs, based on data from Intercontinental Exchange and the Energy Information Administration of the United States of America.

Abbreviations: MWh, megawatt hour; TTF, Title Transfer Facility.

3. Besides direct damage to energy infrastructure, the closure of the Strait of Hormuz, through which normally around one fifth of global oil and liquefied natural gas supplies pass, has severely curtailed energy supply, driving crude and natural gas prices sharply higher (see figure III). Downstream refined products, including gasoline and jet fuel, have followed a similar trajectory. Disruptions are also affecting adjacent commodity markets: around one third of global seaborne fertilizer trade normally transits the waterway, while the region's important role in supplying other critical inputs, including aluminium, helium and naphtha, is intensifying supply chain vulnerabilities across industries and driving up input costs for importers.

Figure III
Prices of selected commodities

(Index, 100 = 1 February)



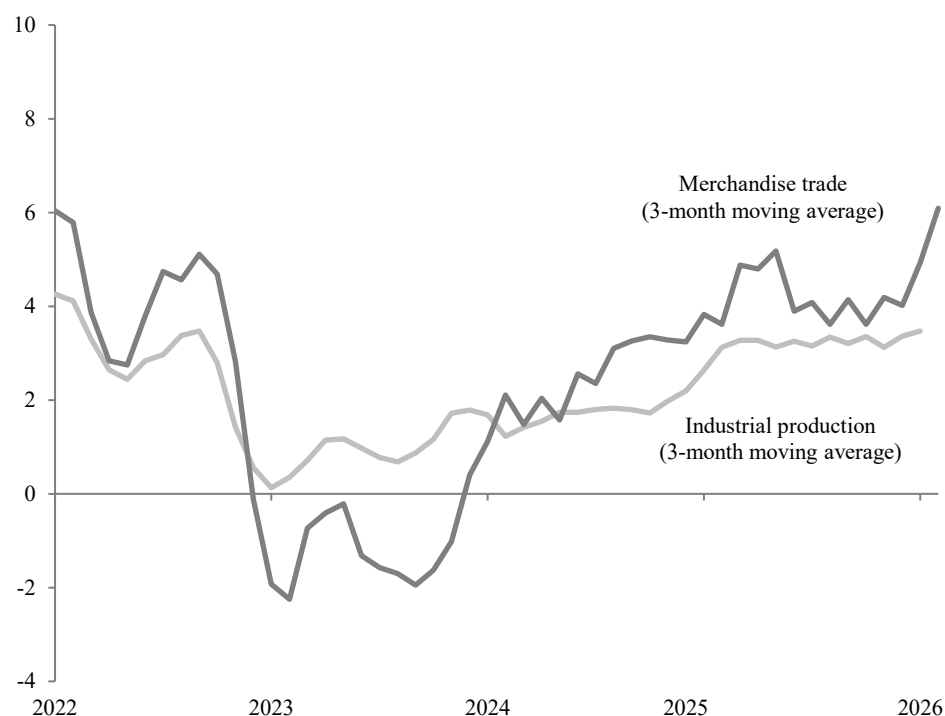
Source: United Nations, Department of Economic and Social Affairs, based on data from CEIC, Trading Economics and Investing.com.

Note: The data series are based on a seven-day moving average.

4. The resulting oil supply shock risks being among the largest in modern history. Tanker transits through the Strait collapsed to near zero after 5 March, cutting off around 20 million barrels per day of gross supply from a 100 million barrels per day global market. Alternative sources – other producers, alternative pipelines, sanctioned oil in transit and inventory drawdowns – have cushioned the blow to some extent since that time. The disruption is particularly acute for Asia, which receives around 80% of all oil transiting the Strait. Inventory drawdowns are absorbing part of the shortfall for now, but as stocks are depleted the full weight of the supply gap will increasingly work through supply chains.

5. The energy market shock is exerting broader macroeconomic pressure. Higher costs are eroding household purchasing power and compressing business margins, while heightened uncertainty is dampening business confidence and investment. With inflation rising, central banks are expected to hold rates higher than previously anticipated, contributing to increasing sovereign bond yields and tightening global financial conditions. Financial markets have become more volatile, though pressures have so far remained contained. While high-frequency indicators of actual activity, such as industrial production, merchandise trade and retail sales, pointed to solid economic conditions in early 2026 (see figure IV), the combined headwinds are already visible in more forward-looking survey data, including weakening purchasing managers' indices and consumer sentiment indicators.

Figure IV
Growth of global industrial production and merchandise trade
 (Percentage, year on year)



Source: United Nations, Department of Economic and Social Affairs, based on data from CPB Netherlands Bureau for Economic Policy Analysis.

6. Country-level impacts vary, shaped by differing exposure to the conflict's transmission channels as well as the capacity to respond. The relatively modest downgrade of global growth assumes that the scope and duration of the disruption are contained, and that impacts among the largest economies are partly mitigated by country-specific factors. Growth in the United States of America is expected to be supported by resilient consumer spending – buoyed by tax cuts – and strong artificial intelligence-driven investment. China, despite being an oil importer, is cushioned by its diversified energy mix, strategic reserves and policy support, even as it navigates a protracted property sector adjustment and subdued domestic demand. In contrast, prospects in Europe, where exposure to global energy price volatility remains acute, have weakened, adding to an already sluggish pre-conflict growth trajectory.

7. Among other economies, the Islamic Republic of Iran and many Gulf States face the most severe disruptions, including infrastructure damage, lower oil and gas output and weaker tourism revenues. While other energy exporters could temporarily benefit from higher export revenues, these gains may be partly offset by softening global demand. Energy-importing developing economies, particularly across Asia, face growth headwinds, inflationary pressures and balance-of-payments strains from terms-of-trade losses, in some cases compounding elevated debt burdens and constrained policy space. These pressures are also giving rise to near-term output risks. Several economies have adopted shortened workweeks, school closures or work-from-home mandates to conserve fuel – measures that, while easing demand, entail foregone output and income losses. In Africa, rising energy and food import costs risk exacerbating existing fiscal pressures, with limited buffers to cushion the impact on households. As a region, Latin America and the Caribbean, with several net

energy-exporting economies, appears somewhat insulated, though it remains on a low-growth trajectory, with divergent impacts across countries.

8. Many vulnerable economies, including the least developed countries, landlocked developing countries and small island developing States, entered 2026 with constrained fiscal space, elevated debt-service burdens and subdued growth, leaving limited room to absorb new shocks. The Middle East crisis has deepened these vulnerabilities, though transmission channels differ. The 2026 growth outlook is modestly revised downward for the least developed countries, where exposure runs through fuel supply chains: most countries lack domestic refining capacity and rely on imported fuel products, leaving them vulnerable to price spikes and supply disruptions. For landlocked developing countries as a group, downward pressures are broadly offset by terms-of-trade gains of fuel-exporting countries, leaving the aggregate 2026 growth outlook broadly unchanged. For small island developing States, growth in 2026 is also modestly revised downward. Tourism dependence is a key vulnerability: rising fuel costs push up airfares and dampen arrivals, while higher maritime transport costs add to broader inflationary pressure.

Table
Growth of world output and gross domestic product

	Annual percentage change					Change from World Economic Situation and Prospects 2026	
	2010–2019 average	2024	2025 ^a	2026 ^b	2027 ^b	2026	2027
World	3.2	2.9	3.0	2.5	2.8	-0.2	-0.1
Developed economies	2.0	1.8	1.7	1.5	1.7	-0.1	-0.1
United States of America	2.4	2.8	2.1	2.0	2.0	0.0	-0.2
Japan	1.3	-0.2	1.2	0.8	1.1	-0.1	0.1
European Union	1.6	1.1	1.5	1.1	1.4	-0.2	-0.2
Euro area	1.4	0.9	1.4	0.9	1.2	-0.2	-0.2
United Kingdom of Great Britain and Northern Ireland	2.0	1.1	1.4	0.7	1.0	-0.4	-0.3
Other developed countries	2.6	1.6	1.4	1.6	1.9	0.0	0.0
Economies in transition	2.4	4.5	2.4	2.2	2.4	0.0	-0.1
South-Eastern Europe	2.0	3.5	2.4	3.0	3.5	-0.4	0.1
Commonwealth of Independent States and Georgia	2.4	4.6	2.4	2.1	2.3	0.0	-0.2
Russian Federation	1.9	4.3	1.0	1.0	1.2	0.0	-0.3
Developing economies	5.2	4.3	4.6	3.9	4.3	-0.3	0.0
Africa ^{c,d}	3.8	3.7	4.3	3.9	4.2	-0.1	0.1
North Africa ^{c,d}	3.5	3.3	4.6	3.7	3.9	-0.4	-0.1
East Africa	6.3	5.5	6.7	5.6	6.0	-0.2	0.3
Central Africa	2.7	3.3	2.9	3.4	3.2	0.4	-0.1
West Africa	4.5	4.7	4.8	4.7	4.8	0.3	0.1
Southern Africa	2.4	1.6	1.8	2.0	2.3	0.0	0.1
East and South Asia ^e	6.7	5.1	5.2	4.5	4.6	-0.1	-0.1
East Asia	7.0	5.0	5.0	4.4	4.4	0.0	0.0
China	7.7	5.0	5.0	4.6	4.5	0.0	0.0
South Asia ^{e,f}	5.7	6.0	6.1	4.6	5.6	-1.0	-0.3
India ^f	6.7	7.1	7.5	6.4	6.6	-0.2	-0.1

	Annual percentage change					Change from World Economic Situation and Prospects 2026	
	2010–2019 average	2024	2025 ^a	2026 ^b	2027 ^b	2026	2027
Western Asia ^g	4.2	2.1	3.6	1.4	4.3	-2.7	0.3
Latin America and the Caribbean	1.6	2.3	2.5	2.3	2.7	0.0	0.2
South America	1.2	2.3	3.0	2.5	2.6	0.0	0.1
Brazil	1.4	3.4	2.3	2.0	2.3	0.0	0.0
Mexico and Central America	2.7	1.8	1.3	1.7	2.6	-0.1	0.1
Caribbean ^h	0.4	2.2	1.4	1.1	2.4	-0.5	0.7
Least developed countries^{d,e}	5.3	4.3	4.6	4.4	4.4	-0.2	-0.6
Landlocked developing countries^e	5.3	4.9	6.0	4.9	5.1	0.0	0.2
Small island developing States	3.9	5.0	3.8	2.6	3.4	-0.2	0.6
Middle-income countries	5.6	4.4	4.6	4.0	4.3	-0.3	-0.1
Memorandum items							
World trade ⁱ	4.5	3.3	5.0	2.7	3.2	0.5	0.0
World output growth with purchasing power parity weights ^j	3.6	3.3	3.4	2.9	3.3	-0.2	0.0

Source: United Nations, Department of Economic and Social Affairs, based on estimates and forecasts produced with the World Economic Forecasting Model.

Note: Estimates and forecasts are based on data and information available up to 1 May 2026.

^a Estimated.

^b Forecast.

^c Excludes Libya due to conflict.

^d Excludes the Sudan due to conflict.

^e Excludes Afghanistan as no forecasts have been made for the economy.

^f Growth rates are on a calendar year basis.

^g Excludes the State of Palestine due to conflict.

^h Excludes Guyana as the country's rapid expansion of oil production substantially increases regional average growth numbers.

ⁱ Includes goods and services.

^j Based on 2017 benchmark.

9. The duration and degree of disruption largely determine the extent of the downgrade of the global growth forecast. In an adverse scenario, in which Brent crude temporarily surges above \$150 per barrel before gradually declining to around \$100 by the end of 2026, global growth would reach only 2.1% in 2026 and 2.6% in 2027, 0.4 and 0.2 percentage points below the baseline. Such a scenario could trigger a deterioration in financial market sentiment, tightening credit conditions and amplifying vulnerabilities in highly indebted economies. These pressures could be further exacerbated by lingering trade tensions. On the upside, a faster-than-expected resolution of the conflict and stabilization of energy markets could restore confidence, ease inflationary pressures and improve growth prospects. Stronger-than-expected productivity gains from artificial intelligence investment could provide an additional lift over the medium term, though these benefits risk being concentrated in developed economies, leaving most developing countries behind and widening existing global inequalities.

10. The downgraded economic outlook understates the true scale of the setback, as the conflict threatens to reverse hard-won development gains and further slow progress towards the Sustainable Development Goals. Estimates indicate that the current price shocks could push an additional 45 million people into acute food insecurity, bringing the global total to a record 363 million – more than double

pre-pandemic levels.¹ Spillovers are falling disproportionately on fuel- and food-importing economies in sub-Saharan Africa and South Asia, where fiscal buffers are thinnest and vulnerability to terms-of-trade losses greatest. At the household level, low-income families, which devote a larger share of spending to food and energy and have the least capacity to absorb real income shocks, bear the heaviest burden, with poverty levels set to rise as a consequence. The renewed pressures compound an already acute development financing squeeze: the financing and investment gap for the Goals stands at \$4 trillion annually,² aid flows are declining sharply and debt servicing costs are crowding out spending on health and education. On the environmental front, high energy prices risk driving a return to carbon-intensive fuels, even as over the longer term they may further strengthen the case for renewables, accelerating a structural shift away from fossil fuels. Higher-income countries that shield their populations from the shock, through consumption subsidies that sustain demand and drive global energy prices higher, or through export restrictions that tighten global supply, effectively concentrate the adjustment burden on less advantaged countries that lack resources to cushion the blow.

Inflation

11. The conflict has interrupted a global disinflationary trend even as inflation had yet to return to target in many economies.³ The supply shock compounds pre-existing price pressures, with uneven effects across regions (see figure V). In developed economies, inflation is forecast to increase from 2.6% in 2025 to 2.9% in 2026, an upward revision of 0.5 percentage points from the January forecast. In several countries, including the United States and the United Kingdom of Great Britain and Northern Ireland, core inflation was still elevated when the energy price shock struck. Among developing economies, the rise is sharper, with inflation projected to accelerate from 4.2% in 2025 to 5.2% in 2026 (1.3 percentage points higher than projected in January), as many countries were already grappling with entrenched price pressures. The greatest strain falls on energy-importing countries in parts of South Asia and sub-Saharan Africa, where limited fiscal space and weaker monetary policy frameworks amplify pass-through to domestic prices. China, by contrast, is a notable exception: although inflation is projected to edge up from recent lows, subdued domestic demand is expected to keep price pressures contained.

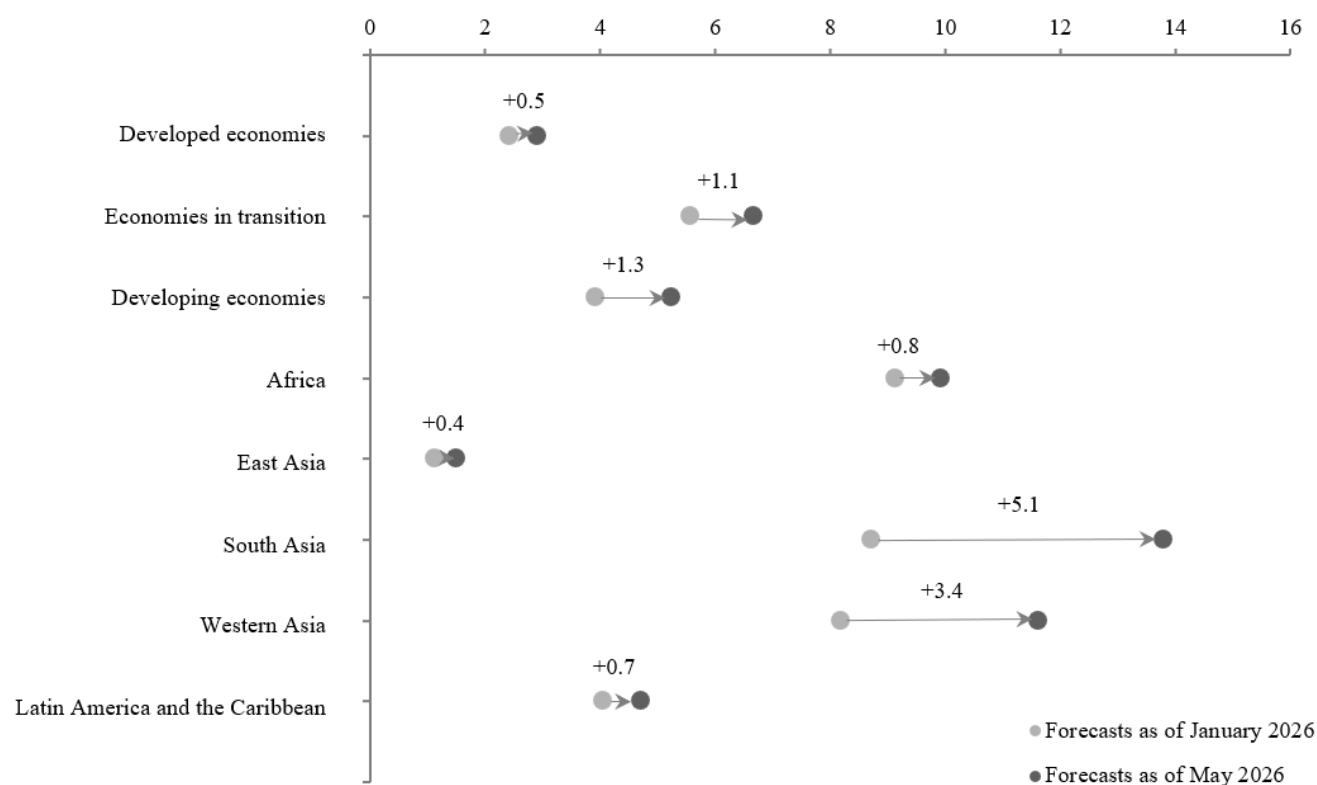
¹ See www.wfp.org/global-hunger-crisis.

² United Nations, *Financing for Sustainable Development Report 2026: Implementing the Sevilla Commitment* (2026).

³ United Nations, *World Economic Situation and Prospects 2026* (2026).

Figure V
Revisions to 2026 inflation forecasts between January and May 2026

(Percentage)



Source: United Nations, Department of Economic and Social Affairs, based on forecasts produced with the World Economic Forecasting Model.

Note: Regional and country group averages are gross domestic product (GDP)-weighted. Afghanistan, Argentina, the Sudan, Venezuela (Bolivarian Republic of) and the State of Palestine are excluded.

12. The energy price shock risks aggravating acute food security vulnerabilities. Developing economies, particularly the least developed countries and landlocked developing countries, have faced compounding food price increases over the past decade, leaving households with little resilience to absorb further pressure (see figure VI). Food inflation, which had been moderating into early 2026, was already edging upward before the conflict and has since been reinforced by the energy price shock, with the Food Price Index of the Food and Agriculture Organization of the United Nations recording increases across all commodity groups in March 2026. Moreover, pressures may prove persistent: unlike freight costs, higher fertilizer prices transmit with a lag, meaning food inflation could intensify well into the next planting season even as energy prices moderate.

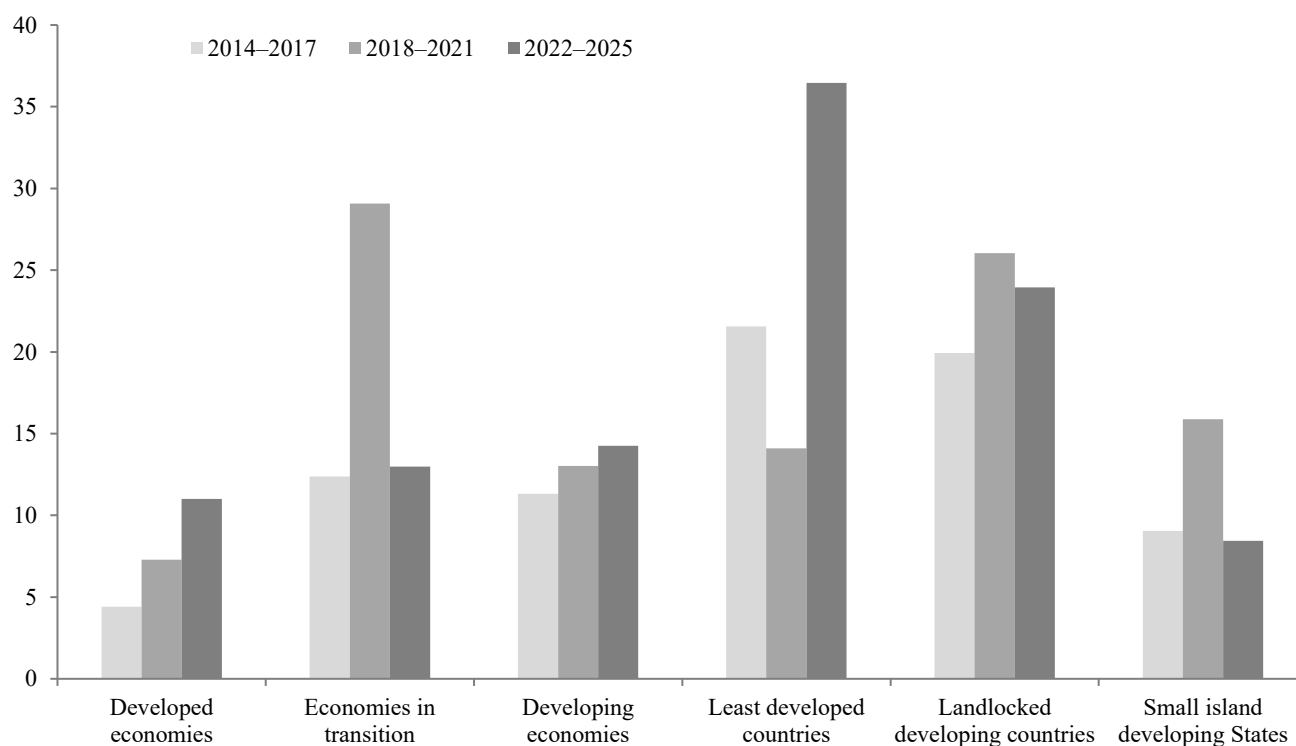
13. A key risk is that an energy price shock could trigger effects that prove difficult to contain. Firms facing higher input and freight costs may seek to protect or expand margins, embedding inflation into future pricing decisions while wage pressures add a further, albeit more gradual, risk. In this context, should inflation expectations become de-anchored from their target ranges, such dynamics would become harder to contain.

14. Unlike in 2022, when a comparable energy shock hit an overheated global economy burdened with pandemic-era imbalances, demand today is more subdued, labour markets less tight and supply chains more stable. Oil markets were also well

supplied before the conflict. These factors limit, but do not eliminate, the risk of a persistent inflation episode and support a gradual easing of price pressures into 2027, provided the disruption remains contained and the destruction of productive assets in the region is rapidly addressed. Yet even a scenario of moderating average inflation carries risks: the interaction of energy, food and freight shocks is likely to keep price dynamics more volatile and less predictable than before 2021, complicating decision-making by households, firms and Governments.

Figure VI
Cumulative food price inflation in selected country groups

(Percentage)



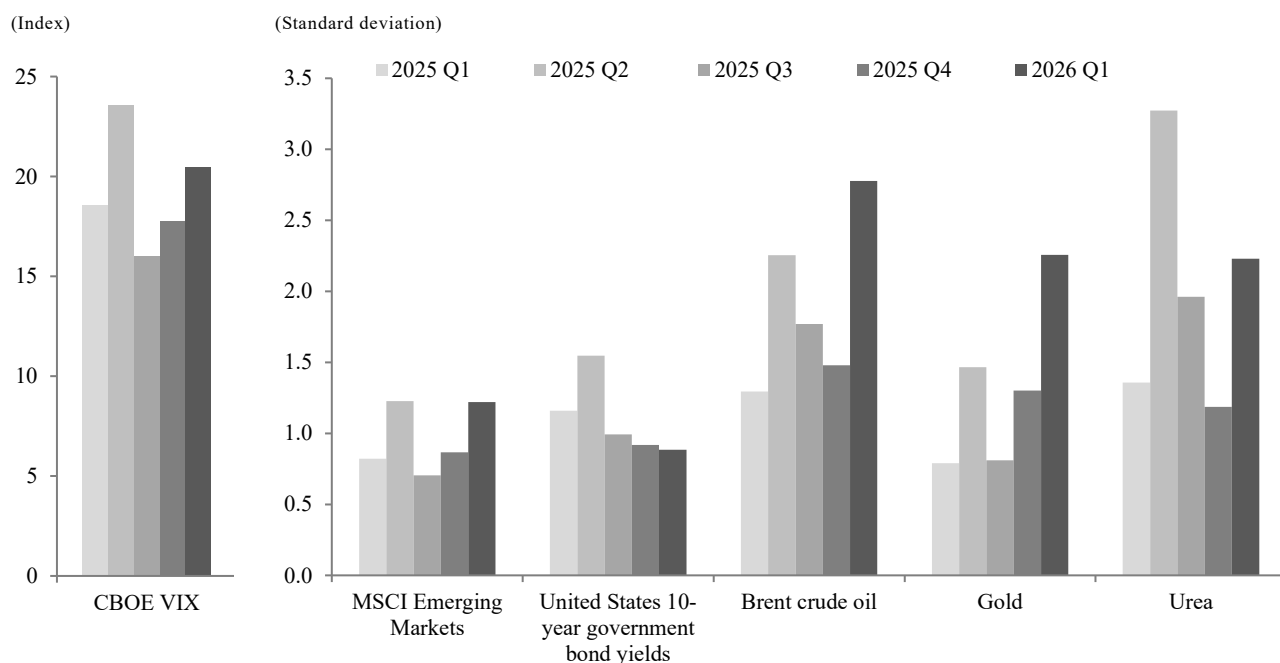
Source: United Nations, Department of Economic and Social Affairs, based on data from the Food and Agriculture Organization of the United Nations.

Note: The figure shows median values for country groups. The sample covers 125 economies.

International finance

15. Prior to the Middle East crisis, global financial markets were on a firmer footing than might have been expected: 2025 had ended on a stronger-than-anticipated note, supported by lower-than-announced tariffs, artificial intelligence-driven investment momentum and broadly favourable financial conditions. The conflict has interrupted that trajectory, reviving inflationary pressures, prompting renewed volatility (see figure VII) and tightening financial conditions. While market functioning has remained intact, the risk of a sharper and more disorderly adjustment has risen.

Figure VII
Volatility of selected financial and commodity market indicators, quarterly average



Source: United Nations, Department of Economic and Social Affairs, based on data from Federal Reserve Economic Data, Trading Economics and MSCI.com.

Note: The volatility of the Morgan Stanley Capital International Emerging Markets Index, United States 10-year government bond yields and Brent crude oil, gold and urea prices is measured as the 30-day rolling standard deviation of their daily percentage changes.

Abbreviations: CBOE VIX, Chicago Board Options Exchange volatility index; MSCI, Morgan Stanley Capital International; Q, quarter.

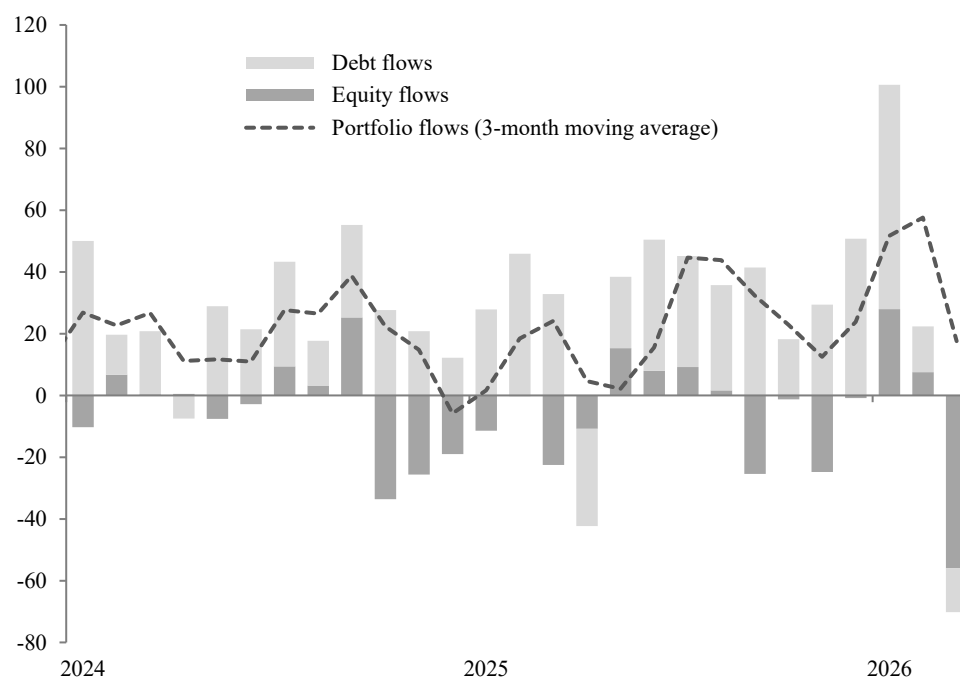
16. Across markets, impacts have tended to vary. Equity prices fell sharply at the outbreak of the crisis, particularly in Europe and Asia, commensurate with their greater dependence on Middle Eastern energy, but have since broadly recovered. Currency markets and precious metals followed a similar course, reflecting shifting risk sentiment. Government bond yields, however, rose across both developed and developing economies, as higher energy prices boosted inflation expectations and led investors to reprice central bank policy paths. Yield curves flattened as short-term rates rose faster than long-term rates. Although the initial financial shock has been contained, an adverse turn could expose deeper structural fragilities, including elevated leverage in the non-bank financial sector, stretched valuations and heavy concentration in artificial intelligence-related stocks.

17. Non-resident portfolio flows to emerging economies swung from \$22.4 billion in February to -\$70.3 billion in March 2026 – the weakest monthly reading since the onset of the pandemic – with outflows across both equity and debt channels (see figure VIII).⁴ While capital inflows may recover quickly, as after the 2025 tariff shocks, a prolonged conflict could sustain outflows, tighten external financing conditions and heighten vulnerabilities in economies with limited reserves, high external financing needs or restricted market access.

⁴ Institute of International Finance, “Capital flows tracker, April 2026: is oil causing a sudden stop in flows?”, April 2026.

Figure VIII
Non-resident portfolio flows to emerging economies

(Billions of United States dollars)



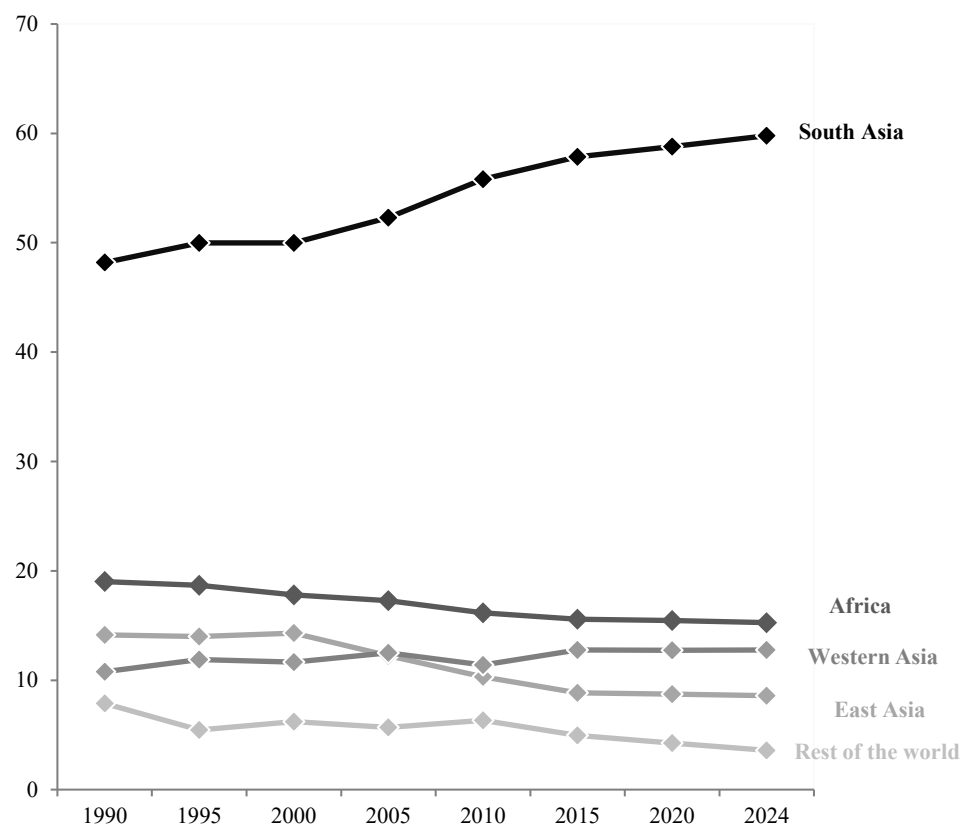
Source: United Nations, Department of Economic and Social Affairs, based on data from the International Institute of Finance.

Note: The countries classified as emerging economies can be found on the International Institute of Finance website.

18. External financing through other channels is also constrained. Official development assistance from donor countries of the Development Assistance Committee of the Organisation for Economic Co-operation and Development decreased by 6.1% in 2024 and 23.1% in 2025, with a further projected decline of 5.8% in 2026.⁵ Personal remittances sent from Gulf Cooperation Council countries exceeded \$142 billion in 2024, accounting for over a fifth of global remittances. The disruption of economic activity across these economies poses an additional risk to recipient countries, primarily in Africa and South Asia (see figure IX), where the Middle East accounts for roughly a quarter and more than half of total remittance inflows, respectively.

⁵ See www.oecd.org/en/data/insights/data-explainers/2026/04/a-historic-decline-in-foreign-aid-preliminary-2025-oda-data.html.

Figure IX
Share of migration stock in Gulf Cooperation Council countries, by region of origin
 (Percentage)



Source: United Nations, Department of Economic and Social Affairs.

International trade and development

19. Global trade growth is projected to slow to 2.7% in 2026, following an exceptionally strong rate of 5.0% in 2025. Last year's expansion was driven by front-loaded shipments ahead of United States tariff hikes, strong demand for artificial intelligence-related goods and resilient services trade – a combination unlikely to be repeated at the same scale. The Middle East conflict has added a significant new source of disruption to an already uncertain outlook.

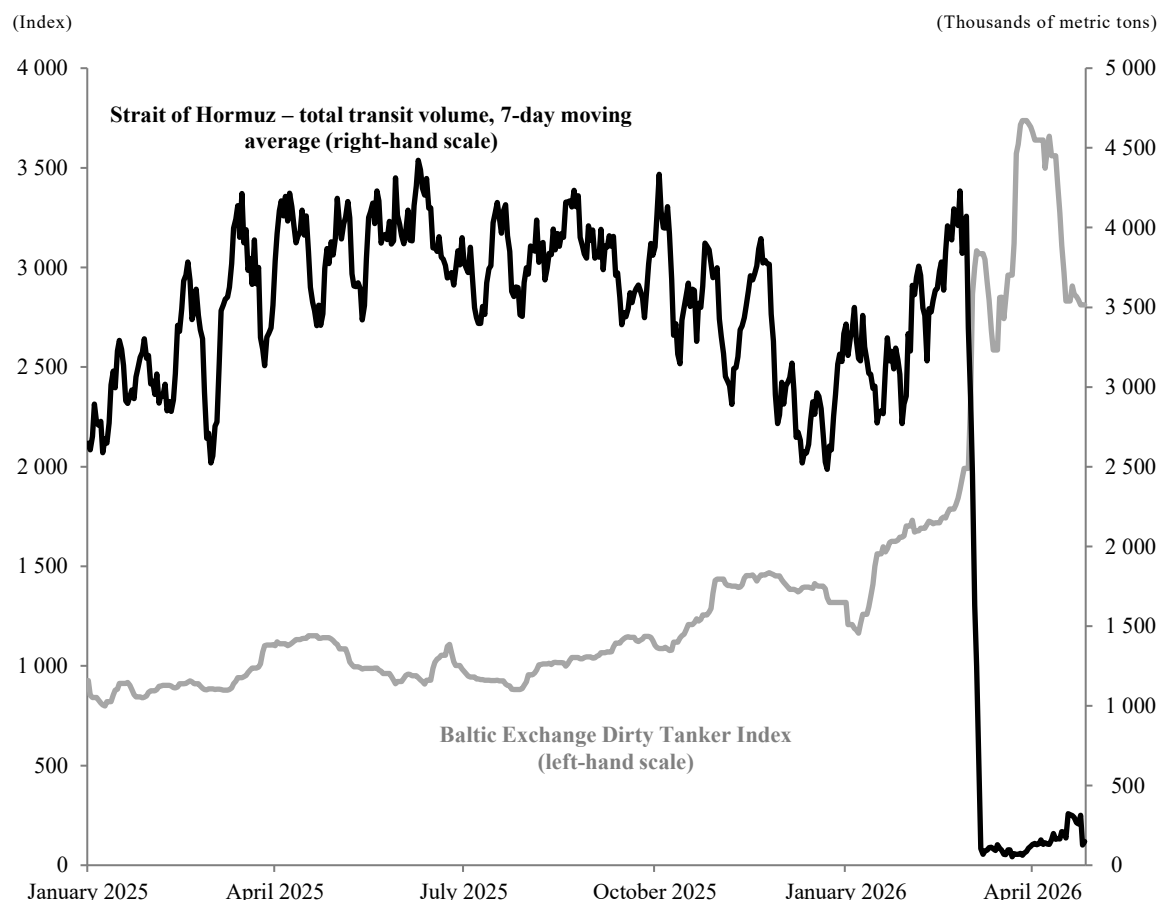
20. The conflict is reverberating through global trade via several interconnected channels. Traffic through the Strait of Hormuz has collapsed from an average of around 95 commercial vessels per day to almost zero, with the amount of displaced transit estimated at over 150 million tons of cargo over 1.5 months (see figure X).⁶ Insurance premiums rose by several multiples, from 0.1% to 0.25% of estimated ship value to around 1% at the end of March after peaking at 2.5%.⁷ The overall impact on shipping costs has so far been strongly concentrated on oil transport (see figure X),

⁶ See <https://portwatch.imf.org/pages/cc317ba850e34c4dadbead6f7b336fb1>.

⁷ See www.spglobal.com/energy/en/news-research/latest-news/shipping/033026-war-risk-insurance-cost-off-highs-but-still-elevated-in-persian-gulf.

particularly on routes through the Gulf region, while global container and dry bulk (solid commodities) cargo rates have registered only slight increases.

Figure X
Strait of Hormuz transit volume and Baltic Exchange Dirty Tanker Index



Source: United Nations, Department of Economic and Social Affairs, based on data from Trading Economics and the International Monetary Fund (IMF) PortWatch.

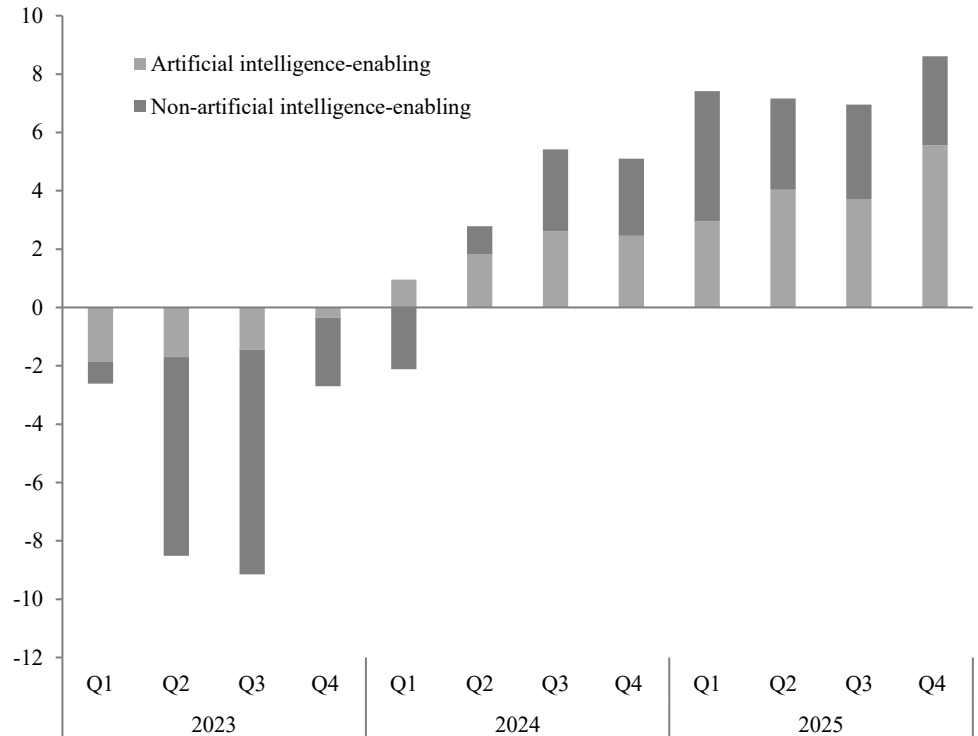
Note: The Baltic Exchange Dirty Tanker Index tracks the average costs of shipping unrefined crude oil and fuel oil across major global routes.

21. Despite these headwinds, merchandise trade retains some carry-over momentum from 2025. Artificial intelligence-related trade, which accounted for nearly half of merchandise trade growth in value terms last year (see figure XI), has continued to support exports from China and other Asian economies into early 2026. Meanwhile, tariffs and trade tensions are reshaping trade patterns more broadly: Asian economies are increasingly redirecting exports towards intraregional partners, the European Union and countries in Latin America and Africa to offset reduced access to the United States. The United States tariff policy remains in flux, with the basis for global measures moving from the International Emergency Economic Powers Act to Section 122, Section 232 and Section 301 investigations. Regional instruments such as the United States-Mexico-Canada Agreement and the African Growth and Opportunity Act are expected to be reviewed in 2026.

22. Services trade presents a mixed picture. Digital, financial and professional services – structurally insulated from both physical disruption and tariff measures – continue to expand. Tourism, by contrast, is weakening: the Middle East, a major

global tourism hub, is experiencing steep declines in travel demand, with regional arrivals projected to fall by 20–28% in 2026 (equivalent to 2% of global arrivals or more) amid airspace closures and safety concerns.⁸ Higher airfares, primarily attributable to soaring jet fuel costs, which rose by about 60% from the end of February to mid-April, add to dampening travel demand more broadly, weighing on tourism-dependent economies well beyond the immediate conflict zone.

Figure XI
World merchandise trade growth, by category
(Percentage, year on year)



Source: United Nations, Department of Economic and Social Affairs, based on data from Trade Data Monitor.

Note: Data are in value terms. Artificial intelligence-enabling goods follow the classification used by the World Trade Organization in *World Trade Report 2025: Making Trade and AI Work Together to the Benefit of All*. Growth rates are calculated based on total imports and exports of countries, accounting for about 95% of world trade.

Abbreviation: Q, quarter.

23. The global investment outlook remains broadly steady despite mounting downside risks from the Middle East conflict and lingering trade tensions, though the pace remains subpar relative to pre-pandemic trends. Elevated geopolitical uncertainty, higher input costs, shifting supply chains and possible delays to monetary easing are all expected to weigh on investment. The artificial intelligence-focused investment boom is also a source of fragility: a reassessment of artificial intelligence-driven productivity expectations could trigger a sharp correction in technology sector investments, as could conflict-related disruptions to inputs for artificial intelligence-enabling electronics.

⁸ See www.untourism.int/brief-on-the-impact-of-the-middle-east-conflict-on-international-tourism-in-the-region.

24. Investment prospects differ across countries. In developed economies, expansionary fiscal policies and sector-specific capital spending are providing support. In the United States, investment in artificial intelligence-related categories, including data centres, information processing equipment, software and research and development, expanded rapidly in 2025 and continues into 2026. In the euro area, the August 2026 construction deadline for projects funded under the European Union post-pandemic recovery framework is a key near-term driver, spurring activity in infrastructure, energy transition and digitalization.⁹

25. Among developing economies, energy-importing countries face the sharpest exposure to the Middle East conflict, as rising import bills and additional spending towards energy subsidies and social protection widen fiscal deficits and crowd out productive investments. Energy exporters in Africa and Latin America, by contrast, may benefit from improved terms of trade, though broader uncertainty continues to weigh on capital formation. Investment across much of Asia, including China and India, is supported by robust export performance and government incentives, while the conflict casts a direct shadow over investor confidence in Western Asia.

Labour markets

26. Labour markets entered 2026 on a resilient footing even as the Middle East conflict is starting to cloud the outlook. The global unemployment rate was estimated at a historic low of 4.9% in 2025. The conflict's potential spillovers, including higher energy costs and interest rates, supply chain disruptions, risks for the tourism industry and dampened business confidence, could test this situation in the coming quarters.

27. Beneath the headline figures, conditions are uneven. Among developed economies, hiring has slowed and labour force growth remains weak in the United States, even as unemployment stays relatively low. In Europe, participation rates are near record highs, but employment trends are diverging across countries: manufacturing-intensive economies continue to face headwinds from high energy costs and weak external demand, while economies in the South are being buoyed by strong services activity and robust tourism, though rising travel costs have created a downside risk. Among developing economies, several have recorded historically low unemployment, including Brazil, and Indonesia and Mexico. However, progress in job quality has stalled: the global rate of informality has shown an increasing trend since 2015, with 2.1 billion workers projected to be informally employed by 2026, typically without access to social protection or job security.¹⁰ The global share of informal employment among women rose from 54.8% in 2015 to 55.9% in 2025, while the corresponding share for men edged down over the same period.

28. A medium- to longer-term layer of uncertainty arises from artificial intelligence adoption. As artificial intelligence's labour market impact begins to unfold, the immediate risks may lie in slower entry-level hiring and widening skills gaps rather than outright job displacement – dynamics that risk deepening a generational divide, with youth unemployment standing at 12.4% globally in 2025.¹¹

Monetary policy

29. The broad easing cycle that characterized global monetary policy through much of 2025 began to slow in early 2026 even before the Middle East conflict confronted central banks with difficult policy trade-offs (see figure XII). Rising energy prices are generating renewed cost pressures just as growth prospects weaken. With the shock

⁹ See https://economy-finance.ec.europa.eu/role-eu-funds-over-forecast-horizon_en.

¹⁰ International Labour Organization, *Employment and Social Trends 2026* (2026).

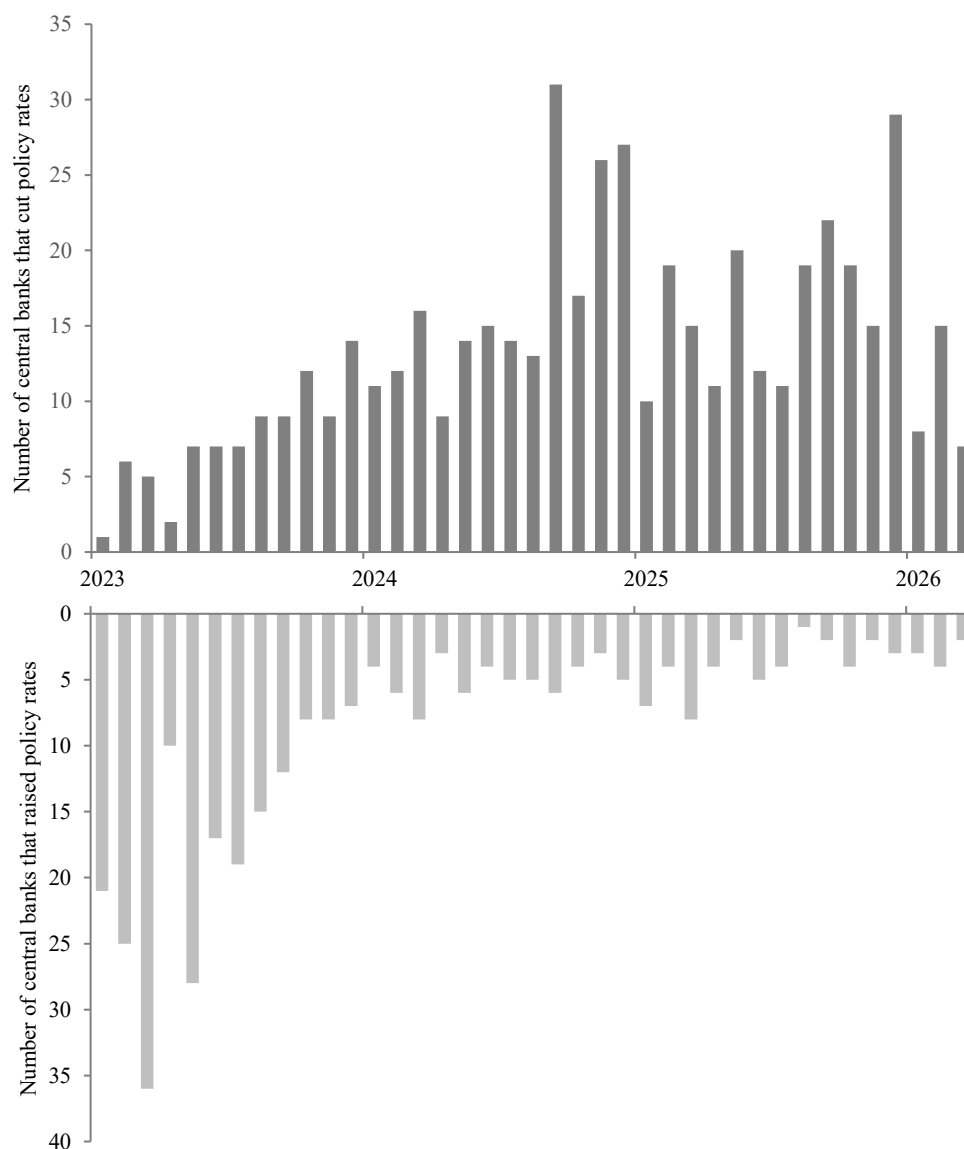
¹¹ Ibid.

primarily supply driven, most central banks have avoided immediate tightening, assessing pass-through to broader inflation while remaining alert to credibility risks and maintaining a cautious, data-dependent stance.

30. In developed economies, the Federal Reserve System of the United States, the European Central Bank and the Bank of England kept rates unchanged in March and April, as higher energy-related costs threaten to reverse earlier disinflation. Rising inflation expectations have prompted markets to price in a steeper rate path, pushing long-term bond yields up and tightening broader financial conditions. The Bank of Japan, having lifted rates from near zero since 2024, faces a two-sided challenge: higher energy costs add inflation pressure yet risk dampening domestic demand, complicating further tightening.

Figure XII
Central bank monetary policy stances

(Number of central banks)



Source: United Nations, Department of Economic and Social Affairs, based on data from CEIC.

Note: The figure includes data from 80 central banks.

31. Among developing economies, the picture is mixed, despite a clear change in tone. In early 2026, more than 20 central banks across Africa, Latin America and economies in transition cut rates. That broad cycle has since given way to a more cautious posture. Sustained import price pressures risk weakening external balances and exchange rates, potentially forcing a shift towards tighter policy even where growth remains fragile. The People's Bank of China is expected to maintain a moderately accommodative stance, relying primarily on liquidity operations rather than policy rate moves.

32. The key uncertainty for policymakers is the persistence and scale of the energy price shock. If medium-term inflation expectations remain well anchored, central banks can afford a measured, flexible approach. Should those expectations deteriorate, however, restoring credibility would require a more forceful response – one that could impose especially severe adjustment costs on the most vulnerable.

Fiscal policy

33. Many Governments are facing the energy price shock with limited options for fiscal policy. Sizeable deficits and elevated debt levels, reflecting only partial post-pandemic consolidation and persistently high spending commitments, had already been projected for 2026. The conflict is expected to compound these pressures by squeezing public revenues while simultaneously raising outlays. Despite these limitations, many Governments have already rolled out fiscal support, including fuel and fertilizer subsidies, fuel tax cuts and energy price caps. Recent experience from the onset of the war in Ukraine illustrates the potential fiscal scale of such measures: global direct budget outlays on fossil fuel subsidies more than doubled from around \$0.5 trillion to \$1.3 trillion between 2020 and 2022.

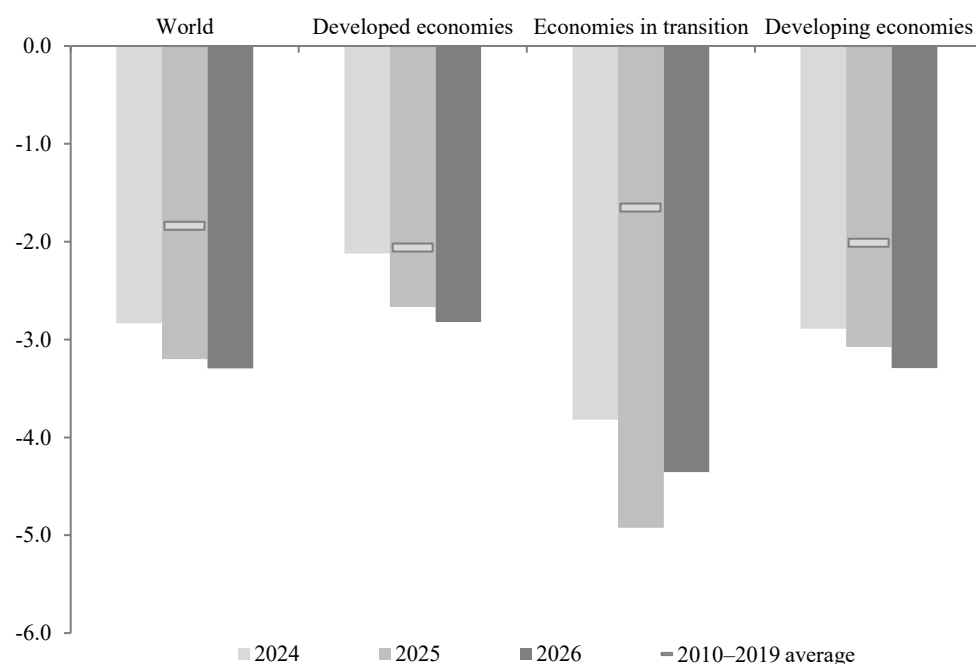
34. Fiscal priorities, meanwhile, encompass objectives well beyond cushioning the price shock. The United States maintains a supportive stance, underpinned by infrastructure investment, industrial policy and rising defence expenditure. The European Union is moving in a more expansionary direction, with increased spending on defence, infrastructure and energy security, especially in Germany. China's fiscal stance is similarly supportive, channelling spending into infrastructure and domestic demand.

35. The average global fiscal deficit for 2026 has been revised up from 3.1% to 3.3% of gross domestic product (GDP) – with the increase most pronounced in Africa and South Asia – compared to the pre-pandemic (2010–2019) average of 1.8% of GDP (see figure XIII).¹² In developing economies that lack fiscal space, some Governments have implemented measures to constrain demand, such as daily limits on retail fuel sales.

¹² Median values are used for fiscal deficits as a share of GDP based on data from International Monetary Fund, *World Economic Outlook: Global Economy in the Shadow of War* (April 2026).

Figure XIII
General government fiscal balance, by country group

(Percentage of GDP)



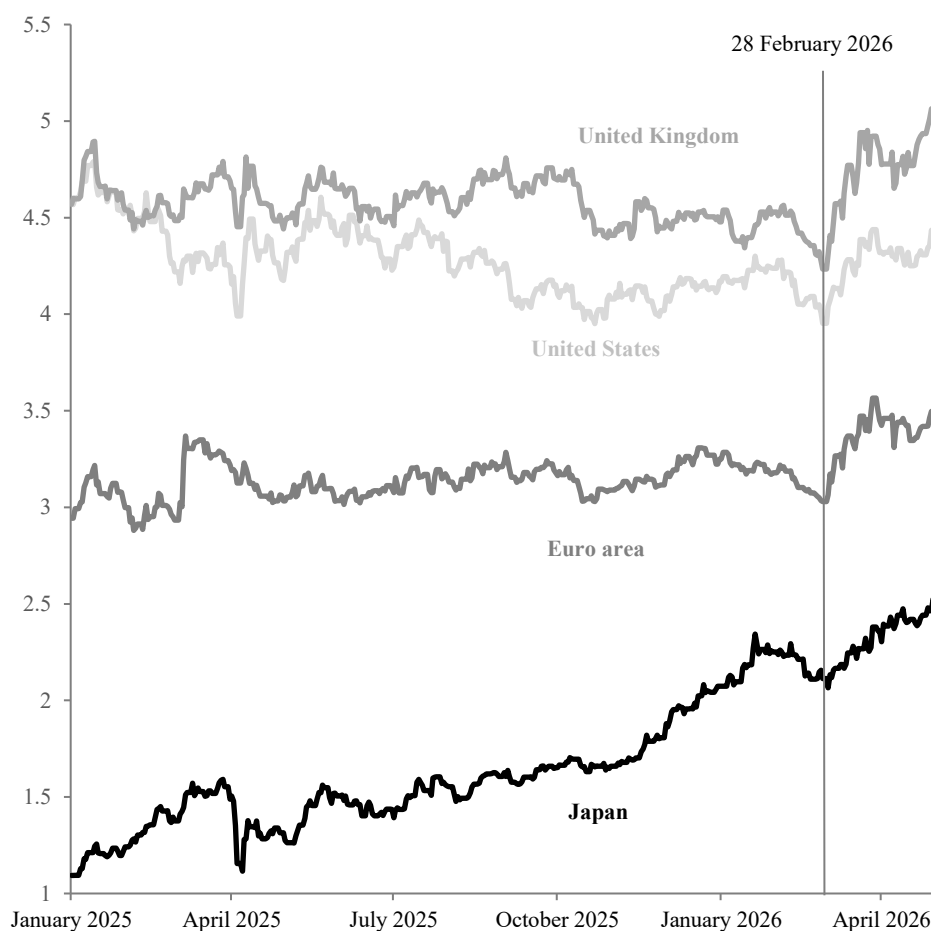
Source: United Nations, Department of Economic and Social Affairs, based on data from the IMF World Economic Outlook database, April 2026.

Note: General government fiscal balance corresponds to general government net lending/borrowing. Country group averages reflect median values.

36. The conflict is also worsening debt dynamics and raising borrowing costs, with longer-term consequences. General government gross debt is projected to rise to 94% of GDP in 2026,¹³ up from 92.8% in 2025, as spending pressures intensify and interest payments mount. Government bond yields have risen across major economies (see figure XIV) and interest rates are unlikely to fall as fast as previously anticipated, sustaining elevated borrowing costs and heightening roll-over risks for economies with large refinancing needs.

¹³ The global average is GDP-weighted, based on data from IMF, *World Economic Outlook* (April 2026).

Figure XIV
Ten-year government bond yields in selected developed economies
 (Percentage)



Source: United Nations, Department of Economic and Social Affairs, based on data from Trading Economics.

Industrial policy

37. Industrial policy frameworks across major economies are evolving, with Governments broadening their toolkits beyond traditional subsidy-based approaches to include trade restrictions, export controls and investment screening, reflecting growing concerns around supply chain resilience, technological self-reliance and strategic autonomy. The Middle East conflict has added urgency to these concerns, particularly around energy security and critical supply chain dependencies, with emerging signs of fuel export restrictions and precautionary stockpiling in several economies further tightening global supply.

38. In the United States, trade-restrictive measures, including export controls on advanced chips, now exceed half of new industrial policy interventions, with domestic subsidies becoming relatively less dominant.¹⁴ In the European Union, the competitiveness compass signals a stronger emphasis on strategic autonomy, with defence increasingly integrated into industrial strategy, while subsidies and State aid

¹⁴ See <https://globaltradealert.org/reports/how-industrial-policy-changed-in-2025>.

remain significant tools.¹⁵ At the same time, many countries are expanding domestic manufacturing capacity in clean energy technologies, including solar, wind and batteries, as part of broader efforts to reduce external dependencies and strengthen competitiveness in strategic value chains. Similarly, China has deepened its strategy of technological self-reliance, linking it with national security objectives and deploying export controls on selected critical minerals.

39. There are significant limitations to pursuing industrial policies in many economies. Restricted fiscal space and institutional capacity constrain the scale and scope of interventions, while the tilt towards trade-restrictive instruments in developed economies can limit access to technologies and value chains. Despite these constraints, some countries are advancing ambitious strategies, such as Brazil through Nova Indústria Brasil, drawing on development finance and targeted sectoral support, and Indonesia through downstream mineral processing to build battery and electric vehicle capabilities. More broadly, the geographical concentration of critical minerals across different developing economies represents a potential source of strategic leverage, though realizing it will require investment in processing capacity, supportive policy frameworks and deeper integration into global value chains.¹⁶

International cooperation

40. The conflict has both tested and, in some areas, demonstrated the value of international cooperation. The most visible response has come in energy markets, where the International Energy Agency coordinated an emergency release of strategic oil reserves – the largest collective action in the Agency’s history – to ease supply pressures and contain price volatility. Multilateral efforts to keep trade flows and shipping corridors open, resist food export restrictions and address growing disruptions to fertilizer supply will be equally important in preventing the energy shock from cascading into a wider food security crisis. Timely access to emergency and concessional financing, as well as continued progress on sovereign debt resolution mechanisms, including the Group of 20 Common Framework for Debt Treatments beyond the Debt Service Suspension Initiative, will be needed to support vulnerable developing countries if surging import bills and tightening access to external finance raise balance-of-payments pressures.

II. Regional economic outlook

Developed economies

North America

41. The United States economy is projected to expand by 2.0% in 2026, slowing from 2.1% in 2025. Elevated mid- and long-term government bond yields, which have tempered the fall in consumer loan and mortgage rates, and higher energy prices due to the Middle East conflict are weighing on growth. Spending on durable goods has softened and residential investment has remained subdued. Overall investment is expected to stay weak, except for artificial intelligence-related equipment and structures. However, because the hardware underpinning artificial intelligence systems, including chips, servers and networking equipment, carries high import content, its net contribution to GDP growth is expected to be moderate. Private services consumption is projected to remain resilient, supported by an increase in real disposable income following tax cuts and modest real wage gains, despite weakening

¹⁵ See https://commission.europa.eu/document/download/10017eb1-4722-4333-add2-e0ed18105a34_en.

¹⁶ United Nations, *World Economic Situation and Prospects 2025* (2025).

job creation and slowing labour force growth. The overall inflationary impact of the energy price shock is currently expected to be smaller than in 2022, with modest projected increases in natural gas and electricity prices. Shelter cost growth is expected to ease gradually, while the housing market recovery remains slow.

42. In Canada, GDP growth is forecast at 1.5% in 2026, down from 1.7% in 2025. While private consumption remains resilient, supported by positive but moderating real wage growth, the private investment recovery has remained subdued. Energy exports are projected to increase, but the scheduled 2026 review of the United States-Mexico-Canada Agreement introduces significant uncertainty to Canada's export outlook.

Europe

43. The Middle East conflict has delivered a significant terms-of-trade shock to Europe, a major net energy importer. Higher energy prices are eroding household purchasing power and raising production costs, weighing on consumer spending and business investment – a setback for an economy that had shown resilience in late 2025 and early 2026 despite ongoing trade tensions and macroeconomic uncertainty. GDP growth in the European Union is projected to slow to 1.1% in 2026, 0.2 percentage points below the January forecast and down from 1.5% in 2025. In the United Kingdom, a sharper deceleration is forecast, from 1.4% in 2025 to 0.7% in 2026 (a downward revision of 0.4 percentage points), reflecting the economy's acute exposure to the energy shock and a weak domestic backdrop of subdued consumer spending and a cooling labour market.

44. Inflationary pressures due to higher energy costs are set to intensify. In the European Union, inflation is projected to rise from 2.3% in 2025 to 2.7% in 2026, while in the United Kingdom it is expected to remain elevated at 3.2%. Consequently, monetary policy is set to be less accommodative than previously anticipated. Sovereign bond yields have surged to multi-year highs, tightening financial conditions more broadly.

45. Fiscal policy is expected to loosen in 2026 as Governments deploy measures to offset the energy shock, alongside stepped-up public investment in infrastructure and defence, most notably in Germany. This easing, however, is likely to be uneven as several high-debt economies have limited room to borrow further without risking market pressure or breaching fiscal rules. The European Union labour market is expected to remain broadly resilient, with the unemployment rate staying near 6%. Divergence across economies continues, however, with unemployment edging higher in manufacturing-driven countries while services- and tourism-oriented economies see firmer job creation.

Developed Asia and the Pacific

46. The domestic demand-led recovery in Australia, Japan and the Republic of Korea has come under pressure from the energy supply shock triggered by the Middle East conflict. Growth in 2026 is projected to be 2.0% for Australia, 0.8% for Japan and 1.5% for the Republic of Korea. While Australia is a major natural gas exporter, it remains dependent on imports of refined fuel products. Japan and the Republic of Korea rely heavily on crude oil from the Middle East for domestic refining, though both source a significant share of their liquefied natural gas from Australia. In the Republic of Korea, supply chain disruptions and deteriorating terms of trade – notably rising prices of industrial inputs for semiconductor-related exports – are weighing on growth, moderating an upward trend that has otherwise held since 2025. In Japan, weakening consumer sentiment is expected to dampen the private consumption-led

recovery. In Australia, wage-driven inflationary pressures led the Reserve Bank to resume monetary tightening in early 2026, adding a further drag on growth.

Economies in transition

47. Economic growth across the Commonwealth of Independent States and Georgia is expected to moderate in 2026. Regional GDP, which grew by 2.4% in 2025, is projected to expand by 2.1% in 2026. Alongside the ongoing war in Ukraine, the Middle East conflict has introduced further uncertainty to the region, including by disrupting trade logistics.

48. Preliminary data indicate that the Russian Federation's economy contracted in the first quarter of 2026, with full-year growth projected to be 1.0%. Stronger export earnings from hydrocarbons, fertilizers and agricultural products are expected to be partially offset by structural constraints, including labour shortages, sluggish productivity growth and subdued non-military investment. In Ukraine, the economy is expected to expand by 1.7% in 2026, constrained by heavy damage to power generation and infrastructure. International financial assistance remains crucial, with post-conflict reconstruction costs revised upwards to \$588 billion.¹⁷ Most countries of the Caucasus and Central Asia are projected to expand above the regional average, supported by exports and domestic growth drivers, including residential and infrastructure investment. However, for smaller energy-importing countries, higher costs will add to inflation, constrain private consumption and exacerbate pressures on fiscal and current account balances, with limited policy space to respond.

49. In South-Eastern Europe, GDP growth is expected to accelerate from 2.4% in 2025 to 3.0% in 2026 and 3.5% in 2027, mostly due to a rebound in Serbia. Downside risks include higher energy costs, weak external demand and a softening tourism sector.

Developing economies

Africa

50. Africa's growth outlook has weakened amid shipping and energy market disruptions and heightened uncertainty from the Middle East conflict. Regional growth in 2026 is projected to be 3.9%, 0.1 percentage points below the January forecast. While higher commodity prices support domestic investment and growth in many resource-rich economies, rising import costs are expected to weigh on private consumption. Higher fuel and food prices are projected to push inflation to 9.9% in 2026, an upward revision of 0.8 percentage points from January but still moderately below 11.3% in 2025. Ten African central banks and the Central Bank of West African States continued easing monetary policy in early 2026; however, the easing cycle has since stalled amid upside inflation risks.

51. The Middle East conflict affects African economies unevenly. Fuel exporters such as Algeria, Angola and Nigeria benefit from elevated prices, though gains are partially offset by imports of refined petroleum products. Fuel importers face higher import bills and broader inflationary pressures. These pressures are further amplified in Southern African economies such as Botswana, Eswatini and Lesotho, which rely on supplies trans-shipped through South Africa – itself heavily dependent on refined fuel from the Gulf.

¹⁷ World Bank and others, *Ukraine Fifth Rapid Damage and Needs Assessment* (2026).

52. Rising fertilizer prices present a lagged but potentially severe risk, with the potential to weigh on agricultural output, particularly in countries most dependent on Gulf-origin inputs.

53. Trade is likely to remain resilient in 2026, building on strong 2025 momentum, with export and import growth exceeding the global average. Primary commodities, including precious metals, drove export performance, while imports of vehicles and electronics surged. The ongoing diversification of global supply chains may open new opportunities through new trade partnerships and shifting shipping routes. The trade relationship with the United States faces headwinds despite the reactivation of the African Growth and Opportunity Act, while African Continental Free Trade Area integration continues to advance slowly.

54. Remittances represent an immediate vulnerability: flows from Gulf Cooperation Council countries account for an estimated 73% of inflows in Egypt and 20% in Ethiopia, leaving both economies exposed to income shocks from tightening labour markets in Gulf Cooperation Council countries.

East Asia

55. The East Asia economy is forecast to grow by 4.4% in 2026 (unchanged from January), moderating from 5.0% in 2025. While much of the region entered 2026 with solid performance in exports and domestic demand, the Middle East conflict has clouded the near-term outlook. Heavy reliance on energy imports from the Middle East exposes many East Asian economies to a terms-of-trade shock, fuelling inflationary pressures. Excluding China, regional inflation is projected to be 3.0% in 2026, an upward revision of 0.8 percentage points from January. A prolonged conflict would threaten supplies of energy, fertilizers and petrochemical inputs critical to agricultural and manufacturing production. Despite easing global trade tensions in late 2025, the ongoing Section 301 investigations in the United States could lead to additional tariffs, dampening the region's export prospects.

56. China's growth is projected to moderate from 5.0% in 2025 to 4.6% in 2026. Policy support will continue to underpin private consumption and investment in manufacturing and infrastructure, yet weakness in the property sector persists and export growth may slow following the front-loaded shipments ahead of the United States tariff increases in 2025. Compared with regional peers, China is less immediately exposed to Middle East energy disruptions owing to its energy mix and strategic reserves. Oil and oil products account for less than 20% of China's total energy supply, and Gulf Cooperation Council countries supply less than a third of its crude imports.

57. Elsewhere in the region, economies heavily reliant on energy imports from the Middle East, such as the Philippines, Thailand and Viet Nam, are particularly vulnerable to higher energy prices and supply disruptions. Higher transport and production costs squeeze margins for export-oriented economies. Surging jet fuel costs could curb air travel, affecting tourism-dependent economies, including Thailand and the Pacific small island developing States. Nevertheless, growth projections for several economies exporting artificial intelligence-related electronics have been revised up from January, including for Singapore and Taiwan Province of China, where stronger-than-expected growth in the fourth quarter of 2025 implies a sizeable statistical carry-over into 2026.

58. Governments across the region have implemented measures to counter rising energy prices, including fuel subsidies, energy price controls, fuel excise tax cuts, energy conservation and remote work policies. Central banks are expected to maintain a cautious policy stance; Indonesia, Malaysia and the Philippines were among those

holding key interest rates in March, citing heightened uncertainty. Some economies may also temporarily increase reliance on coal to offset energy supply disruptions.

South Asia

59. South Asia's growth is projected to moderate from 6.1% in 2025 to 4.6% in 2026. The 1.0 percentage point downward revision from January is driven primarily by a sharp contraction in the Islamic Republic of Iran. Risks to the outlook are tilted downward, contingent on the duration and severity of the Middle East conflict and its disruptions to oil and gas trade.

60. The Islamic Republic of Iran's economy is projected to contract by 6.4% in 2026,¹⁸ as the conflict exacerbates already severe macroeconomic imbalances accumulated under international sanctions. Disruption to oil exports has been compounded by energy infrastructure damage, accelerating currency depreciation, eroding household purchasing power and driving inflation to a projected 68.4% in 2026. Uncertainty surrounding this forecast is exceptionally high, reflecting the conflict's evolving nature and the difficulty of gauging its full economic impact.

61. India's economy is forecast to grow by 6.4% in 2026,¹⁹ a downward revision of 0.2 percentage points from the January forecast, supported by resilient private consumption and strong services exports. India's diversified energy sourcing and structural buffers, including its refining infrastructure, ample foreign exchange reserves and fiscal space to manage fuel prices, may limit the direct pass-through of higher crude prices. Countries with heavy dependence on Gulf Cooperation Council energy imports, such as Pakistan and Sri Lanka, face sharper terms-of-trade deterioration. Downside risks also stem from softer investor sentiment and weaker remittance inflows from Gulf Cooperation Council economies – particularly for Bangladesh and Nepal, where they represent a substantial share of GDP.

62. Regional consumer price inflation is projected to rise to 13.8% in 2026, up from 8.7% in the January forecast, driven largely by soaring inflation in the Islamic Republic of Iran. In India, inflation is forecast at 4.9%, within the Reserve Bank of India's target range, with the policy rate held at 5.25% amid rising inflation risks. For Bangladesh, Pakistan and Sri Lanka, rising energy costs and weaker remittances are pressuring balance-of-payments positions, with risks of reserve drawdowns and currency depreciation complicating stabilization efforts under IMF programmes.

Western Asia

63. The economic outlook for Western Asia has deteriorated significantly amid escalating regional conflict, disruptions to maritime trade, the effective closure of the Strait of Hormuz and damage to critical infrastructure. GDP growth is projected to decline from an estimated 3.6% in 2025 to 1.4% in 2026, though the scale of the downturn remains highly uncertain, depending on the conflict's duration and intensity.

64. For the region's main energy exporters – Iraq and the Gulf Cooperation Council member States – economic activity has been constrained by prolonged restrictions on energy exports and inbound merchandise shipments, alongside rising transport and insurance costs. The impact, however, is uneven across countries, reflecting differences in export structure, reliance on transit through the Strait of Hormuz and infrastructure damage. Significant GDP contractions in 2026 are expected in Iraq owing to its heavy reliance on oil revenues, and in Qatar, whose liquefied natural gas exports are overwhelmingly routed through the Strait of Hormuz. Saudi Arabia and

¹⁸ On a calendar year basis.

¹⁹ On a calendar year basis.

the United Arab Emirates are projected to record positive, albeit subdued, growth, cushioned by greater economic diversification and, in Saudi Arabia's case, the ability to partially reroute energy exports via Red Sea terminals.

65. Beyond direct energy revenue losses, the drag on the non-energy sector – the primary engine of regional growth in recent years – is weighing on the outlook, with the sharp decline in non-oil purchasing managers' indices reflecting deteriorating business sentiment. Tourism and aviation are significant additional transmission channels, with inbound and transiting arrivals projected to fall sharply in 2026. In response, central banks in Gulf Cooperation Council countries introduced financial stability measures in March and April.

66. Higher energy import costs are exacerbating external imbalances in the region's energy-importing economies, particularly Jordan, Lebanon the Syrian Arab Republic, Türkiye and Yemen, intensifying inflationary pressures more broadly. For Türkiye, while only 1.6% of petroleum imports originate from Gulf Cooperation Council countries, broader price spillovers are significant, risking a slowdown in the disinflation process and prompting the central bank to pause rate cuts in March. Weaker demand from Western Asia and the Islamic Republic of Iran, accounting for around 15% of Türkiye's exports, and slower European growth add further headwinds to the outlook.

Latin America and the Caribbean

67. Latin America and the Caribbean remains on a low-growth trajectory. Regional GDP is projected to expand by 2.3% in 2026, unchanged from the January forecast, following 2.5% growth in 2025. Despite supportive commodity prices, economic activity continues to be constrained by a combination of structural weaknesses, notably weak investment and limited fiscal space, and other headwinds, including softer external demand and elevated borrowing costs. Compounding these challenges, the energy shock has reignited inflationary pressures and strained the external balances of oil-importing economies.

68. Brazil's growth is expected to decelerate from 2.3% in 2025 to 2.0% in 2026, reflecting still restrictive monetary conditions. Expansionary measures, including minimum wage increases and higher income tax thresholds for lower-income households, will provide some support for domestic demand. Meanwhile, Mexico's outlook is gradually improving. After expanding by only 0.8% in 2025, growth is projected to reach 1.5% in 2026, supported by a recovery in private consumption, a modest pick-up in investment and higher public spending on infrastructure and social programmes. However, the renegotiation of the United States-Mexico-Canada Agreement introduces some uncertainty.

69. After three years of sustained disinflation, the energy shock has set back progress towards central bank inflation targets across the region. Inflationary pressures are up, even in net energy exporters, with headline inflation rising in Brazil, Chile, Colombia and Mexico and expectations edging up. In Argentina, inflation declined markedly over the past year, but the pace of disinflation has recently slowed, suggesting that further reductions may prove harder to sustain. Central banks are adopting a more cautious approach to monetary easing, with some pausing rate cuts. Governments have introduced several measures, including fuel subsidies, to cushion the impact of the energy price shock but their scope remains constrained by tight fiscal positions.